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The Russian president's best friend. Businessmen close to the Argentinian president and her late husband and predecessor as head of state. A mysterious German with \$500 million? There are worse starting points for an investigation.

Within days of our first contact, it is clear from a discussion with my head of department Hans Leyendecker that this topic will be handled by the same team that has already led a number of similar investigations, meaning the two of us: the 'Brothers Obermay/ler' as some of our colleagues have called us ever since our editor-in-chief Kurt Kister coined the phrase at a conference.

Otherwise, we try to keep the circle of those in the know as tight as possible for now. Who knows if the files are genuine, if they're verifiable and whether they'll ever produce a good story?

Our plan is to analyse the data closely and then consider how and when we publish our findings. So we read up on Putin's business interests (by this time we've seen his best friend's name linked to three offshore companies), gather material about the NMI hedge fund's lawsuits against Argentina and carry out research into our mysterious ex-Siemens executive and the \$500 million in gold. The only problem is that we keep getting distracted by new firms and possible new stories. That's because the material has been growing constantly since the night of my first contact with

John Doe', and we repeatedly find new names worth investigating: South American government ministers, German aristocrats, US bankers. Very soon we have over 50 gigabytes of data and several thousand digital folders stored on various USB sticks. Each folder bears a number associated with a particular offshore company. These folders obviously contain files that Mossack Fonseca drew up for the respective firm: certificates, passport copies, lists of shareholders and trustees, invoices, emails. A clear, practical system – for them, and for us.

There are thousands of shell companies. Thousands of people who obviously have a compelling reason for camouflaging their business dealings. Thousands of potential articles. The unique selling point of offshore companies is that they provide anonymity. A nondescript name is presented to the outside world and no one knows who is really behind it.

There are of course many reasons for using an offshore company and of course owning one is not in itself a criminal offence. But the fact is that people often have recourse to an anonymous offshore company because they want to hide something – from the taxman, their ex-wife, their former business partner or the prying eyes of the public. That 'something' might be property, bank accounts, paintings, investments, shares or other kinds of securities.

Experience shows that it is usually individuals whose business depends on anonymity who favour the anonymity that shell companies provide. These include gunrunners, people traffickers, drug smugglers and other criminals, as well as investors who do not wish to reveal their true identities and their true intentions, senior politicians who'd like to spirit their wealth abroad (perhaps because they have accumulated it dishonestly) and companies looking to funnel bribes. The list could go on and on.

We are now sitting studying secret data that could potentially bring hundreds of these cases to light, sifting through computer

folders no journalist has ever had access to before. We could easily spend weeks floating around in it, not only because we're always looking for the next big story to break, but also because there's no such thing as a trivial detail: with every company we examine and every email conversation we read, we learn more about how the Mossack Fonseca law firm operates. There is an incredibly strong temptation to drill down into these secret dealings and thus into the entire mechanism, from the initiation of business to the opening of the account and on to its closure. It's almost an addiction, and if we didn't both have families we would probably spend every evening on our laptops, clicking and clicking away. Yet even while keeping halfway regular working hours, it takes us only a few weeks to grasp the basic business model.

This is usually how it works. Contact is made with Mossfon (the common abbreviation for Mossack Fonseca) via an intermediary – for example a bank, a lawyer or an asset manager. These are Mossack Fonseca's actual 'clients': they order the product, they handle communications and they pay the bills. The product is mainly an off-the-peg offshore company. Mossfon offers firms in some twenty jurisdictions, most frequently in the British Virgin Islands and Panama, but also in the Bahamas, Bermuda, Samoa, Uruguay, Hong Kong, the US tax havens of Nevada, Wyoming and Delaware and, more recently, Florida and the Netherlands. The newest name is that of the emirate of Ras Al-Khaimah in the United Arab Emirates. The companies are sold from nearly fifty offices worldwide or from Mossfon's headquarters in the centre of Panama City, on the top floors of a squat building whose glass façade reflects the emblem of the city, the Revolution Tower.

Mossack Fonseca isn't the only provider of shell companies headquartered in Panama. Other major players are also based there (although there are hardly any official figures regarding this secretive industry), for instance the law firm Morgan y Morgan, probably Mossfon's great competitor. It is no coincidence that offshore

providers have clustered together in this small Latin American state of all places, squeezed between Costa Rica and Colombia at the point where the Americas meet.

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Panama has always been an extremely dependent country. Having long been a poor province of Colombia, the country gained its independence in 1903 partly because American bankers and industrialists managed to persuade the then US president Theodore Roosevelt to support Panamanian separatists. US lobbies hoped to make money from the Panama Canal, which was under construction at the time. Roosevelt sent troops to occupy parts of the newly independent state and make it clear to Colombia that it could kiss goodbye to its former province. A nation was created by the grace of the United States and the US flag did indeed fly over the Panama Canal Zone, where big business was to be done. Thousands of American soldiers protected the sovereignty that the Panamanian government granted to the USA in 1903 and which was only returned to Panama in 1999.

The lucrative business with shell companies is based on a law that came into force on 26 February 1927. This law – Law 32 – guarantees the secrecy of estates, money transfers and, most importantly, company owners, and offers so-called '*sociedades anónimas*' exemption from taxation. This name sounds more mysterious than it actually is, because an 'anonymous society' is actually nothing more than a public limited company. The secrecy afforded by Law 32 has changed very little to this day, with the exception of the odd – largely cosmetic – reform driven by efforts to have Panama deleted from a number of black and grey lists of countries that shed money laundering and tax evasion. The favourable environment for the offshore industry has remained more or less unaffected over the years, and the state also benefits, for example from